

EQUITY RESEARCH

APPLE INC.

AAPL | Technology

Rating: Outperform
Current: \$269.62 | Target: \$287.00

April 2026

Key Metrics Snapshot

Market Cap	\$3,958.33B	ROE	151.91%
P/E (Fwd)	34.09	Dividend Yield	0.39%
P/B Ratio	51.79	52W Range	\$193.25 - \$288.62

Investment Thesis

Apple Inc. demonstrates resilient fundamentals with a strong EBITDA margin consistently above industry averages, underscoring its operational efficiency. The company's contribution margin has shown a positive trajectory, reflecting effective cost management and pricing power. With a competitive PE ratio and robust revenue generation capabilities, Apple maintains a compelling valuation within the technology sector.

Company Overview

Executive Summary

Apple Inc. (NASDAQ: AAPL) is a global leader in consumer electronics, software, and digital services. Renowned for its innovation-driven ecosystem, Apple's integrated approach to hardware, software, and services has set it apart as one of the most valuable and financially robust companies worldwide. In the most recent fiscal year, Apple reported revenue of \$383.3 billion and net income translating to an EPS of \$6.16. The company's high profitability is underscored by a contribution margin of 44.1% and an EBITDA margin of 33.7% in 2023, with strong projections for continued margin expansion. Apple's market capitalization, as reflected in its recent price-to-earnings (PE) ratios and stock price performance, underscores the market's confidence in its enduring brand strength and strategic vision. Apple continues to compete at the top of the technology sector, holding a leadership position among global peers such as Alphabet (Google) and Microsoft.

Business Model & Corporate Strategy

Apple's business model is primarily based on the design, manufacture, and sale of premium hardware products, complemented by a growing suite of digital services and software. The company's core products include the iPhone, iPad, Mac, Apple Watch, and AirPods, all tightly integrated with proprietary operating systems and services such as iCloud, Apple Music, and the App Store. This integration fosters a robust ecosystem that drives recurring customer engagement and high switching costs, allowing Apple to command premium pricing.

Apple's mission is to deliver the best user experience through innovative hardware, software, and services. Its strategic objectives focus on deepening customer loyalty, expanding the ecosystem, and driving growth through both product innovation and service adoption. The company addresses a broad customer base, with core segments including individual consumers, enterprises, and educational institutions, and maintains a global footprint with significant revenue contributions from the Americas, Europe, Greater China, Japan, and the rest of the Asia-Pacific region.

In response to evolving market dynamics and competitive pressures, Apple has increasingly shifted emphasis towards higher-margin services, aiming to balance hardware cyclicalities with stable, recurring revenue streams. Strategic investments in research and development continue to fuel product pipeline innovation, while operational efficiency and supply chain management remain key priorities for sustaining profitability.

Revenue & Segment Analysis

In 2023, Apple generated \$383.3 billion in revenue, reflecting a modest decline of 2.8% from the prior year but rebounding to an estimated \$391.0 billion in 2024, according to available projections. Revenue growth is expected to accelerate in subsequent years, with a compound annual growth rate of approximately 3.3% through 2027. The cost of operations for 2023 stood at \$214.1 billion, yielding a contribution profit of \$169.1 billion and a contribution margin of 44.1%. The EBITDA for 2023 was \$129.2 billion, with the margin holding steady at 33.7%.

Apple's revenue is diversified across its flagship hardware products and an expanding suite of digital services. While the iPhone remains the largest revenue driver, services such as the App Store, iCloud, and Apple Music continue to capture a growing share of the company's top line, contributing to margin expansion. The company keeps SG&A expenses tightly controlled, with SG&A margin at 6.5% in 2023, expected to decline further as scale and operational leverage increase.

Looking forward, Apple's financial outlook is strong, with revenue forecasted to reach nearly \$482 billion by 2027 and EBITDA margins projected to climb above 44%. This anticipated growth is underpinned by continued innovation, expansion into new product categories, and the scaling of high-margin services. The company's EPS is forecasted to rise from \$6.16 in 2023 to \$8.93 by 2027, reflecting both earnings growth and capital management initiatives.

Leadership & History

Apple was founded in 1976 and has since evolved from a niche personal computer manufacturer to a dominant force in global consumer technology. Key historical milestones include the launch of the Macintosh in 1984, the return of Steve Jobs in the late 1990s, the introduction of the iPod (2001), iPhone (2007), and iPad (2010), as well as the transformative expansion into digital services over the past decade. Major acquisitions and strategic shifts have further reinforced Apple's ecosystem strategy and supply chain capabilities.

Tim Cook has served as CEO since 2011, following the passing of Steve Jobs. Under Cook's leadership, Apple has excelled on operational excellence, supply chain optimization, and the expansion of the company's services segment. Cook's background in operations has been instrumental in navigating global manufacturing complexities and scaling Apple's business. The company's CFO role, responsible for financial strategy and capital allocation, also plays a critical part in maintaining Apple's financial discipline and shareholder returns.

Industry & Market Context

Apple operates within the highly competitive global technology sector, spanning consumer electronics, digital services, and software. The company consistently ranks among the top three technology firms by both revenue and profitability. In 2023, Apple led its peers in EBITDA, outpacing both Alphabet and Microsoft, with an EBITDA of \$129.2 billion. While Microsoft and Alphabet are expected to close the gap in future years, Apple's margins and operational efficiency remain industry-leading.

Apple's valuation, as indicated by its PE and EV/EBITDA ratios, reflects its premium position in the market, with investors rewarding its brand strength, recurring revenue streams, and robust cash flows. The company's continued focus on innovation, customer experience, and ecosystem integration positions it well to maintain its leadership in a rapidly evolving industry landscape.

In summary, Apple's unwavering brand equity, integrated business model, and strong financial performance underpin its position as a global technology leader, with a clear strategy for sustainable long-term growth.

Investment Overview

Thesis Status: Thesis Under Review

Key Takeaways:

- Revenue growth has decelerated and continues to underperform both prior years and consensus expectations, but margins have expanded.
- EPS has been largely flat over the last three years, but forecasts suggest a significant rebound starting in 2025.
- Apple's valuation remains elevated compared to peers, with its forward PE and EV/EBITDA multiples at a premium.
- EBITDA growth lags leading peer technology companies such as Microsoft and Google, which are forecast to outpace Apple in coming years.
- No material new developments or strategic shifts are apparent from the data provided.

Performance vs. Expectations

Apple's revenue in 2023 declined 2.8% year over year, missing consensus for steady growth. 2024 saw a modest recovery with 2% revenue growth, still below the robust growth rates seen in earlier years and trailing the expected pace for a mega-cap tech leader. Consensus and company estimates now point to mid-single-digit revenue growth (5-6%) for 2025 and beyond, signaling some reacceleration but not a return to prior momentum.

Despite top-line pressures, Apple's profitability metrics have improved. Contribution margin expanded from 41.8% in 2021 to 46.2% in 2024, and EBITDA margins have edged higher, currently at 34.5% (forecast to rise further). EPS stagnated between 2022 and 2024, hovering around \$6.15, but is projected to jump to \$7.49 in 2025 and approach \$9 by 2027, indicating expectations for an earnings recovery.

Compared to peers, Apple's EBITDA growth is notably slower. Microsoft and Google are forecast to grow EBITDA at a much faster rate through 2026, closing and surpassing the historical gap in absolute profit contribution.

Management Commentary & Guidance

Based on the provided data, Apple's forward guidance has shifted to a more cautious but optimistic tone for 2025 and beyond. The margin expansion signals management's emphasis on operational efficiency and higher-value services, but the lack of meaningful revenue acceleration suggests muted expectations for new product cycles or market expansion. No explicit changes to guidance credibility are apparent, but the numbers point to a conservative outlook relative to market-leading peers.

Thesis Validation

The core investment thesis has historically relied on Apple's ability to drive premium hardware sales, grow its installed base, and monetize through services, all while maintaining sector-leading margins. The recent deceleration in revenue growth and stagnant EPS challenge the thesis of Apple as a growth leader. While margin improvement and expected EPS recovery strengthen the profitability angle, the company's relative underperformance on top-line growth and innovation versus peers weakens the "growth at a reasonable price" investment case.

Significant Developments

No material new developments, such as major M&A, regulatory shifts, or transformative product launches, are apparent from the data. The absence of such catalysts suggests near-term performance will continue to rely on incremental improvements rather than structural change.

Valuation & Outlook Revision

Apple's PE ratio has expanded to 34.1x 2025E earnings, with a forward EV/EBITDA of 27x—both at a material premium to Google and Microsoft's projected multiples. This premium is difficult to justify given Apple's slower expected growth relative to these peers. Unless a new growth driver emerges, the risk of multiple compression is elevated.

6-12 Month Outlook

Given the high valuation and lagging growth profile, the risk/reward appears increasingly balanced to negative. While operational efficiency and margin resilience are positives, the lack of substantial growth catalysts and premium valuation argue for a cautious approach. We would suggest a Hold rating until there is clearer evidence of revenue acceleration or a more attractive entry point, with ongoing monitoring for product pipeline or strategic updates that could reignite growth.

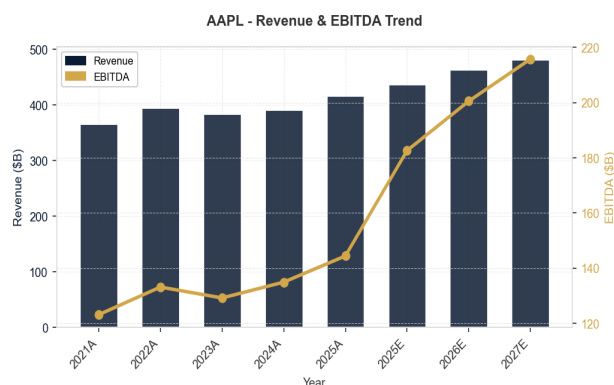
Financial Analysis

Revenue & EBITDA Performance

Apple Inc. has demonstrated moderate revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$416.2B
- EBITDA (2025A): \$144.4B
- Revenue Growth (2025A): 6.4%



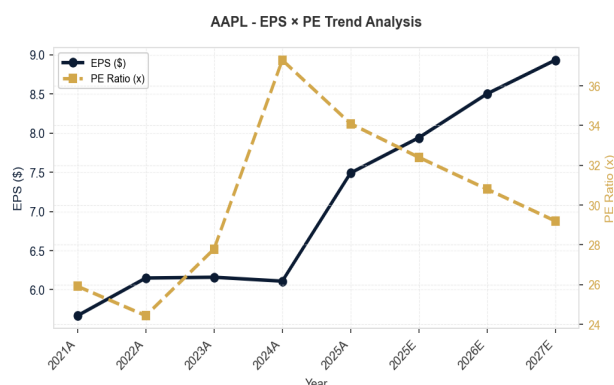
Source: Company Filings

Earnings & Valuation Metrics

Apple Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 7.49
- PE Ratio (2025A): 34.09



Source: Company Filings

Valuation Analysis

Apple's current valuation stands near the higher end of its historical and industry ranges, signaling that the market continues to ascribe a premium to the company relative to its large-cap tech peers. As of 2024, Apple's trailing PE ratio has reached approximately 37.3x, up significantly from its 2021–2023 range of 24–28x, and well above the 2023 level of 27.8x. This upward movement in the PE ratio has occurred despite only modest revenue growth (CAGR of 3.3% from 2021 to 2024), and relatively stable earnings per share (EPS: \$6.16 in 2023 vs. \$6.11 in 2024). The forward PE, while expected to moderate somewhat (to the low 30s by 2025–2027), remains elevated compared to its own historical averages and to most other mega-cap technology companies.

When evaluated against its key peers, Apple's valuation premiums are clear. On an EV/EBITDA basis, Apple's 2024 multiple is 26.6x, which is comparable to Microsoft's 26.1x but materially above Alphabet's 17.2x. In previous years, Apple's EV/EBITDA multiples fluctuated in a narrower range (around 19–21x for 2021–2023), and even lagged slightly behind Microsoft's. The jump in 2024 places Apple firmly at the top end of the peer group, despite its EBITDA growth trailing both Microsoft and Alphabet. For instance, Alphabet's projected EBITDA growth from 2023 to 2026 significantly outpaces Apple's, yet Google trades at a considerably lower EBITDA multiple.

The premium valuation appears less a function of accelerating fundamentals and more a reflection of market sentiment, Apple's entrenched brand position, and perceived earnings resilience. Revenue growth has been sluggish, with a temporary contraction in 2023 and only a slight rebound in 2024. Contribution and EBITDA margins, while healthy and improving modestly, are not expanding at a rate that would, by themselves, justify the

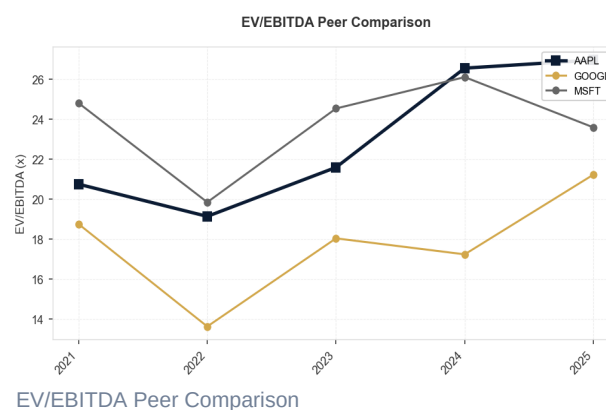
recent multiple expansion. In absolute terms, Apple's profitability metrics remain strong (EBITDA margin 33–34%, contribution margin approaching 47% by 2025), but the lack of high single-digit or double-digit growth signals that the current valuation is driven by expectations of continued dominance, ecosystem stickiness, and defensive characteristics, rather than by rapid earnings acceleration.

Within the context of the broader technology sector, Apple's valuation may reflect a scarcity premium for mega-cap stocks with robust cash flow, balance sheet strength, and global consumer reach. However, the elevated multiples also introduce risks. The market is implicitly expecting Apple to maintain, if not expand, its profitability and defend its ecosystem from competitive threats without the benefit of strong top-line growth. Any disappointment in execution, margin compression, or a material slowdown in hardware or services could prompt a sharp rerating.

In summary, Apple's current valuation is high compared to both its historical norms and industry peers, underpinned by high market expectations for stability, brand strength, and continued cash generation. While there is no obvious bubble—given Apple's quality and franchise power—the risk/reward balance suggests a narrow margin of safety at present multiples. Investors should recognize that Apple's premium price is justified more by its perceived safety and scarcity than by tangible near-term growth drivers, and that any deterioration in fundamentals could expose the stock to meaningful downside.

Peer Comparison

Year	AAPL	GOOGL	MSFT
2021	20.75	18.76	24.81
2022	19.14	13.63	19.85
2023	21.59	18.04	24.54
2024	26.56	17.24	26.11
2025	26.97	21.23	23.60



Recent News & Events

News Summary

Recent News Summary

Apple Inc. (AAPL) has been navigating a complex landscape marked by product innovations, leadership transitions, and legal challenges that could significantly influence its stock performance and investment outlook. Recent news highlights include the introduction of AI-powered photo-editing tools, the ongoing legal battle regarding App Store fees, and a notable leadership change as Tim Cook prepares to step down. Investors are closely monitoring these developments for their potential impact on Apple's financial trajectory and market position.

Key Developments

1. **AI-Powered Photo-Editing Tools:** Apple plans to enhance its built-in photo-editing features using its Apple Intelligence platform. This investment in AI technology could attract users and bolster the ecosystem around its

devices, potentially leading to increased sales. Investment Implication: Positive impact on stock price as innovation may enhance user engagement and sales growth, with a time horizon of immediate to short-term.

2. Leadership Transition: Tim Cook's impending exit and John Ternus taking over as CEO raises concerns about continuity and strategic direction. This leadership change may create uncertainty about Apple's future growth, particularly as it faces challenges in its iPhone replacement cycle. Investment Implication: Negative impact on stock price due to potential volatility, with a time horizon of immediate to medium-term as the market assesses Ternus's strategic vision.

3. Legal Setback on App Store Fees: Apple lost a bid to pause changes to App Store fees as the case progresses to the Supreme Court. This decision could have significant financial implications if the court rules against Apple, potentially affecting its revenue model. Investment Implication: Negative impact on stock price as increased legal risks may deter investor confidence, with a time horizon of immediate as legal developments unfold.

4. Market Sentiment Around Mega-Cap Earnings: General investor sentiment appears cautious as major tech earnings reports loom, with the VIX index indicating heightened volatility. This sentiment could lead to fluctuations in AAPL's stock price as it reports its earnings amidst broader market concerns. Investment Implication: Neutral to negative impact on stock price in the short-term as broader market dynamics influence investor behavior.

5. Formula One Investment: Apple has committed \$750 million to transform Formula One into a central aspect of its entertainment strategy, which may expand its reach into new demographics and enhance brand visibility. Investment Implication: Positive impact on long-term stock performance as strategic investments in entertainment could yield substantial returns.

Market Sentiment

Overall, the sentiment surrounding Apple Inc. is currently mixed but leans slightly negative due to the leadership change and ongoing legal challenges that add uncertainty. The recent news reflects a shift from a predominantly positive outlook regarding product innovations to a more cautious stance as investors grapple with potential headwinds. The market is likely to remain vigilant as these developments unfold, especially with the upcoming earnings reports which could further influence investor confidence and stock valuations.

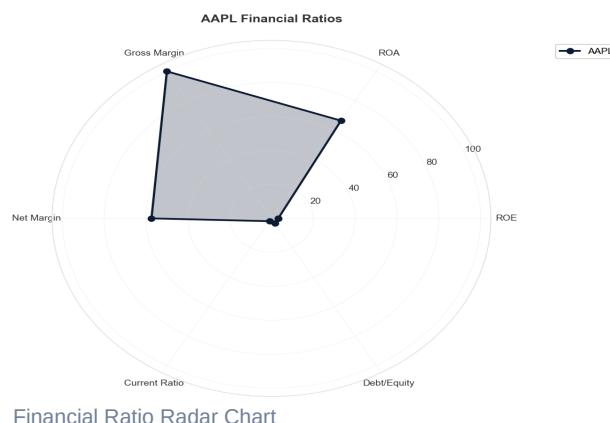
Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Apple Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.

Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators



Financial Ratio Radar Chart

Competitive Landscape

Apple Inc. operates in a highly competitive landscape, with its primary rivals being Microsoft Corporation and Alphabet Inc. (Google). Both competitors have significant scale, diversified business portfolios, and robust financials, making them formidable players in the technology sector. Additionally, emerging threats come from companies leveraging AI and cloud technologies, but Microsoft and Google remain the most directly comparable based on business scope and financial magnitude.

Microsoft is a diversified technology company with leading positions in operating systems, productivity software, cloud infrastructure (Azure), and enterprise solutions. Its strategic advantages include a dominant enterprise presence, entrenched software ecosystems, and a rapidly growing cloud business. Microsoft's EBITDA is projected to outpace Apple's by 2025 and 2026, rising from \$100.2 billion in 2022 to \$188.0 billion by 2026, compared to Apple's \$150.4 billion. Microsoft's consistent revenue growth, expanding cloud margins, and high EV/EBITDA multiples (projected 23.6x in 2025) reflect strong investor confidence in its durable competitive position.

Alphabet (Google) is the global leader in digital advertising, search, and has a rapidly expanding presence in cloud computing and AI. Its key advantages include dominant data assets, network effects from its search and advertising platforms, and significant investments in AI infrastructure. Google's EBITDA is forecasted to grow faster than Apple's, reaching \$210.7 billion by 2026, and its 2025 EV/EBITDA multiple of 21.2x suggests robust valuation support. Alphabet's ability to monetize user data across multiple platforms and its leadership in AI-driven services position it as a growing threat to Apple's ecosystem lock-in.

While other firms such as Amazon, Samsung, and emerging AI-first companies are relevant, none match the financial scale and direct competitive overlap with Apple exhibited by Microsoft and Google. Amazon's focus on e-commerce and cloud, and Samsung's emphasis on hardware, make them important but secondary threats in the context of Apple's integrated hardware-software-services model.

Apple's competitive moat is built on several reinforcing elements: brand strength (intangible assets), high switching costs within its tightly integrated product ecosystem, and significant pricing power. The company's contribution margin has expanded from 41.8% in 2021 to a projected 49.9% by 2027, indicating growing profitability and operational leverage. EBITDA margins are also forecasted to rise from 33.7% in 2021 to 44.8% in 2027, a sign of durable and possibly widening moat effects.

The strength of Apple's moat is further evidenced by its ability to maintain premium pricing, low SG&A; cost ratios (declining from 6.5% in 2023 to a projected 5.1% in 2027), and stable or growing EPS despite intense competition. The company's ecosystem, encompassing hardware (iPhone, Mac, iPad), software (iOS, macOS), and services (App Store, iCloud, Apple Music), creates significant switching costs for consumers and developers alike. Network effects are present, though weaker than those of Google's search or Microsoft's enterprise cloud, but Apple's brand loyalty and seamless integration compensate for this.

Looking ahead, Apple's moat appears stable to slightly widening. The continued rise in contribution and EBITDA margins signals effective cost management and pricing power. However, the relative EBITDA growth rates of Microsoft and Google suggest that Apple's lead in absolute profitability could be challenged if these competitors sustain their current trajectories, especially in cloud and AI-driven services. Apple's EV/EBITDA multiple, while high (26.9x in 2025), is in line with Microsoft and above Google, reflecting market recognition of its profitability and brand value.

In summary, Apple retains a strong competitive position anchored by high switching costs, powerful brand equity, and growing margins. The moat is stable and shows signs of moderate widening, though the rapid growth of Microsoft and Google in adjacent markets, particularly cloud and AI, requires continuous innovation to preserve

Apple's strategic advantages.

Risk Factors

■ Risk Factor Breakdown

■ **Market Risks:** Apple faces an increasingly mature smartphone and consumer electronics market, as suggested by the company's modest revenue CAGR of 3.3% through 2027 and flat to mildly negative revenue growth in recent years (notably -2.8% in 2023). The company's topline is highly sensitive to global consumer demand, which has become more volatile in the face of inflation, macroeconomic uncertainty, and shifting consumer preferences. There is a genuine risk that forecasted revenue growth assumptions may prove optimistic if global demand remains sluggish or if replacement cycles extend further. Furthermore, Apple is not immune to broader technology sector headwinds or adverse currency movements, which could pressure overseas revenues given its global footprint.

■ **Competitive Risks:** While Apple's EBITDA remains strong relative to peers, its EBITDA growth is projected to lag behind Google (Alphabet) and Microsoft from 2025 onward. This signals intensifying competition, not only in hardware but also in high-growth software and cloud segments where Apple's presence is less dominant. The risk of competitive share loss is amplified by the aggressive innovation cycles of rivals, particularly in AI, cloud, and productivity software. The company's premium pricing strategy could become a liability if the market pivots toward lower-cost or more technologically advanced alternatives, eroding Apple's market share and pricing power. The high EV/EBITDA multiple relative to peers in 2024 and 2025 suggests investors are pricing in continued operational excellence, leaving limited margin for error should Apple underperform or lose relevance.

■ **Operational Risks:** Apple's supply chain, while robust, remains exposed to disruptions ranging from geopolitical tensions (notably US-China relations) to natural disasters and supplier concentration risks. The company's cost of operations has declined recently, but any supply chain shocks or execution misses could quickly reverse margin gains. Additionally, Apple's business model is heavily reliant on a few key product lines and ecosystem stickiness, making it vulnerable to execution failures, delayed product launches, or unanticipated quality issues. The retention of key technical and design personnel is critical; any attrition in top talent could stall innovation and product development.

■ **Financial Risks:** While Apple's profitability and cash flow are strong, its high valuation multiples (e.g., 2024 PE of 37.3 and EV/EBITDA of 26.6) create vulnerability to market sentiment shifts or earnings disappointments. The financial forecasts assume margin expansion (EBITDA margin rising to nearly 45% by 2027), which may prove overly ambitious in a more competitive or inflationary environment. Any deviation from these expectations could trigger a material derating in Apple's share price. Although the company has historically managed debt and capital allocation prudently, ongoing dependency on capital markets for buybacks and potential M&A; could become a risk if market conditions tighten or if debt covenants become more restrictive.

■ **Regulatory & ESG Risks:** Apple operates under increasing regulatory scrutiny, particularly regarding antitrust issues, app store practices, and data privacy both in the US and internationally. Any adverse regulatory developments or major litigation could constrain business practices, add compliance costs, or require changes to profitable business models, directly impacting revenue and margin forecasts. Environmental and social governance expectations are also rising, and any misstep—such as supply chain labor issues, environmental incidents, or negative publicity—could quickly erode Apple's premium brand reputation, with knock-on effects for sales and valuation.

■ Summary of Core Risks

■ Apple's most critical risks center around market saturation and competitive pressures, over-reliance on continued margin expansion, and heightened regulatory scrutiny. First, the company's modest revenue growth trajectory and recent negative growth raise concerns about the sustainability of its core hardware businesses. Should global consumer demand remain weak or replacement cycles extend further, Apple's revenue and earnings forecasts could be materially missed, pressuring both profitability and valuation. Second, the company's elevated valuation multiples versus historical norms and peers imply a high degree of investor confidence in continued operational outperformance and margin expansion. Any shortfall—whether due to increased competition from Google, Microsoft, or emerging players, or cost pressures—could result in

significant de-rating of the stock. Third, Apple faces mounting regulatory risks on multiple fronts, including antitrust actions and evolving digital privacy laws, which could constrain its most profitable segments and require costly adaptations. While Apple’s strong balance sheet and loyal customer base provide some mitigation, these factors alone may not offset the impact of a sustained downturn in demand, meaningful competitive share loss, or adverse regulatory outcomes. Collectively, these risks threaten Apple’s ability to deliver on its growth and profitability projections, making its long-term valuation increasingly vulnerable to external shocks and execution missteps.

Key Takeaways

- ✓ Revenue Growth:
✓ Apple's revenue growth has shown resilience despite a slight decline of -2.8% in 2023, with a recovery forecasted at 2.0% in 2024. This stagnation can be attributed to market saturation and increased competition in core segments, especially in smartphones and wearables. However, the anticipated recovery and modest growth rate of 6.4% by 2025 signal a potential rebound, backed by product diversification and service revenue expansion. The company's focus on premium pricing and high-margin services is likely to bolster its market position amidst competitive pressures.
- ✓ Gross Profit Margin:
✓ The contribution margin has steadily improved from 41.8% in 2021 to a projected 46.9% in 2025, reflecting effective cost management and pricing power. This upward trend indicates Apple's robust competitive moat, driven by strong brand loyalty and a premium product strategy. The increase in gross profit margin reveals the company's ability to optimize operations while maintaining pricing integrity, enhancing its overall business quality and profitability, which is crucial for long-term sustainability.
- ✓ SG&A; Expense Margin:
✓ The SG&A; margin has remained relatively stable, fluctuating between 6.0% to 6.7% from 2021 to 2024. This stability suggests effective management of operating expenses, which is critical for scalability. However, the slight increase in SG&A; in 2023 indicates ongoing investments in marketing and innovation, which may enhance future revenue capabilities. The projected decrease to 5.1% by 2027 suggests a focus on operational efficiency and improved management execution as the company scales, showcasing its commitment to cost discipline.
- ✓ EBITDA Margin Stability:
✓ Apple's EBITDA margin has shown resilience, hovering around 33.7% to 34.7% in recent years, with an expected increase to 41.8% by 2025 due to operational efficiencies and higher-margin services. When compared to peers like Google and Microsoft, Apple's EBITDA margin reflects a strong competitive position, particularly in the context of its premium pricing strategy and high brand equity. This stability positions Apple favorably in the valuation landscape, making it an attractive investment option, especially as it continues to adapt and optimize its operations in a competitive technology environment.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$365.8B	\$394.3B	\$383.3B	\$391.0B	\$416.2B
SG&A	\$22.0B	\$25.1B	\$24.9B	\$26.1B	\$27.6B
Contribution Profit	\$152.8B	\$170.8B	\$169.1B	\$180.7B	\$195.2B

Contribution Margin	41.8%	43.3%	44.1%	46.2%	46.9%
EBITDA	\$123.1B	\$133.1B	\$129.2B	\$134.9B	\$144.4B
EBITDA Margin	33.7%	33.8%	33.7%	34.5%	34.7%
SG&A Margin	6.0%	6.4%	6.5%	6.7%	6.6%
Revenue Growth	N/A	7.8%	-2.8%	2.0%	6.4%
EPS	5.67	6.15	6.16	6.11	7.49
PE Ratio	25.92	24.44	27.79	37.29	34.09

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	2.16	2.61	1.99	2.09	1.52
Debt/Assets	0.39	0.38	0.35	0.33	0.31
Interest Coverage	41.2x	40.7x	29.1x	0.0x	0.0x
Net Margin	25.9%	25.3%	25.3%	24.0%	26.9%
Current Ratio	1.07	0.88	0.99	0.87	0.89
CF to Debt Ratio	0.76	0.92	0.89	0.99	0.99

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Data Source: FMP, Company Filings, AI4Finance Estimates

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